

DUTIES OF TRUSTEES FOR PURCHASE.

A TRUST for *purchase* is not so frequent as a trust for *sale*, and yet occurs often enough to merit a separate consideration.

1. **Trustees liable for consequences of breach of duty.** — The general rule is that trustees for purchase, like all other trustees, are bound to discharge the duty prescribed, and failing to do so are answerable for the consequences; as, if a specific fund be bequeathed to trustees upon trust to lay out on a purchase, and they neglect to call in the fund and lay it out, they are liable to compensate the *cestuis que trust* for the consequences (*a*).

2. **May enter into a previous contract.** — It is almost unnecessary to premise, that trustees for purchase are not confined to the mere act of *paying* the purchase-money and taking a *conveyance*, but may in the ordinary course of business, enter into a previous written *contract* as a preliminary to the purchase.

3. **Must see to value.** — A material point to which trustees of this kind have to advert is the intrinsic *value* of the estate proposed to be bought, and, to arrive at a sound conclusion on this head, they must employ a valuer of their own (*b*), and must not rely upon any valuation made on behalf of the vendor; “nothing,” said Lord Romilly, “is more uncertain than a valuation, and the Court has constantly to observe upon the great discrepancy between valuations made by those persons who want to enhance, and by those persons who want to depreciate the value of the property. A man

(*a*) *Craven v. Craddock*, W. N. 1868, p. 229.

[(*b*) In *Fry v. Tapson*, 28 Ch. D. 268; it was held that the appointment of the valuer could not be left

to the trustees' solicitor, but that the trustees were bound to exercise their own judgment as to the selection of a valuer.]